

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)
(TRIMESTER –II) END TERM EXAMINATION, JANUARY -2024

Corporate Finance

[Time: 3 Hours]

[Maximum Marks: 60]

Following are the course outcomes of the subject: - Corporate Finance

CO	Course Outcome (CO)
CO1	Basic concepts and principles of corporate finance.
CO2	It helps to make informed business decisions and develop effective financial strategies.
CO3	To be equipped with analytical tools and framework to make decisions in complex and challenging financial environments regarding the cost and financial structure of the Company.

(Note- Faculty can add the more CO's as per their subject.)

SECTION-A

Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)

Q.1	Marks	CO
(A)	4	CO – 1
(B)	4	CO – 1
(C)	4	CO – 1
(D)	4	CO – 1
(E)	4	CO – 1

SECTION-B

Attempt all questions out of the following: (Long Answer Type Questions)

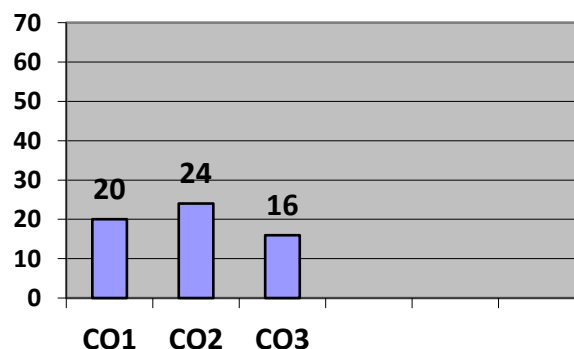
Q. No	Marks	CO
2 (A)	6	CO –2
2 (A)	6	CO – 2
2 (B)	6	CO –2
2 (B)	6	CO – 2
3 (A)	6	CO – 2
3 (A)	6	CO – 2
3 (B)	6	CO – 2
3 (B)	6	CO – 2

SECTION-C

Attempt all parts of the following: (Caselet / Numerical)

Q.4	Marks	CO
4 (A)	8	CO – 3
4 (B)	8	CO - 3

■ Course Outcome Wise Marks Distribution



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INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Define the Functions of the Finance Manager in an Organisation.
- (b) Explain Weightage Average Cost of Capital.
- (c) A student has been selected to get a scholarship of ₹24000 per annum at the end of the next three years. What would be the Present value of the Scholarship if the relevant discount rate is 9% per annum?
- (d) Define Profit Maximization vs. wealth Maximisation.
- (e) A project Cost ₹45000; now, the project is generating the following Cash Inflows ₹15000, ₹20000, ₹20000 and ₹6000. The plant and Equipment Purchased at the start of the project would have a resale value of ₹5000 at the end of the fourth year. Calculate the payback period of the project.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(4×6=24)

- (a) State the Different types of Dividend Policy

OR

- (a) Calculate the cost of capital in the following cases:

- i) X Ltd. issues 12% Debentures of face value Rs. 100 each and realises Rs. 95 per Debenture. The Debentures are redeemable after 10 years at a premium of 10%.
- ii) Y. Ltd. issues 14% preference shares of face value Rs. 100 each Rs. 92 per share. The shares are repayable after 12 years at par

- (b) "Debt is the cheapest source of funds among various sources." Do you agree with this statement? If yes, prove your hypothesis with an example.

OR

- (b) A Firm detail are as under:

Sales @ 100 per unit 24,00,000

Variable Cost 50%

Fixed Cost 10,00,000

It has Borrowed 10,00,000 @10%P.a. and its equity share capital is 10,00,000 (₹ 100 each)

Calculate

- i Operating leverage
- ii financial leverage
- iii Combined leverage
- iv Return on Investment
- v If the sales increases by 6,00,000: what will be the new EBIT

Q.3. (a) Explain the meaning of Optimal Capital Structure. Discuss various theories that advocate the idea of optimal Capital Structure.

OR

(a) Mr. X has to receive Rs. 1,00,000, Rs. 50,000 and Rs. 20,000 at the end of 1st, 2nd and 3rd year from an investment proposal. Calculate the present value of future cash flows from the investment proposal if interest rate is 10%.

(b) Explain the importance of Capital Budgeting or investment decisions for Business Firms

OR

(b) A company issued 1,00,000, 10% debentures of Rs. 100 each on April 1, 2022. The cost of issue was Rs. 2,50,000. Determine the cost of debentures if they were issued .

a. At a premium of 10%

b. At a discount of 10%.

SECTION-C

Q.4. Attempt all parts of the following:

(2×8=16)

4(a) Initial Investment Rs. 60,000
Life of the Assets 4 Years
Estimated Net Annual Cash Flows:
 I 15,000
 II 20,000
 III 30,000
 IV 20,000

Calculate Internal Rate of Return

4(b) Finance is the lifeblood of business". In light of this statement, discuss the scope of finance functions, highlighting the main financial decisions that management must take.